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BUSINESS LAW II
(BMGT 381)

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PROJECT 2:
BANKRUPTCY



Key Financial Challenges Faced by PI

- PI's business has been negatively impacted by economic factors like inflation and rising interest rates.
- This has led to reduced new contracts, increased costs, and difficulties in collecting payments from customers.
- PI's financial situation is deteriorating, with a loss in the first quarter and a bleak forecast for the next.
- Economic slowdown due to inflation and rising interest rates.
- Reduced consumer spending and increased defaults on credit.
- Negative impact on PI: reduced contracts, higher paint costs, and customer defaults.
- First quarter loss and poor forecast for next quarter.
- Accountants' audit requested for a complete financial review.

Figure 1: This represents PI's business.



AUDIT SUMMARY – ASSETS LIST



Figure 2: This represents the Assets List

Cash in Bank: $10,987.56

Reserve (CD): $100,000.00

Real Property: $200,000.00

Warehouse: $250,000.00

Inventory: $12,000.00

Fixtures: $35,682.00

Office Furnishings: $15,500.00

Tools and Equipment: $2,500.00

Accounts Receivable: $55,235.75

AUDIT SUMMARY – LIABILITIES LIST

According to *Advanced Business Law and the Legal Environment* (2014), the list of liabilities is below:

- Mortgage on Property (First State Bank): $105,000.00
- Construction Loan (First State Bank): $175,000.00
- Secured Loan on Fixtures (PNC Bank): $22,970.00
- Inventory Secured on Floating Lien (First State Bank): $12,000.00
- Secured Loan by Office Furnishings (PNC Bank): $10,500.00
- Unsecured Line of Credit (First State Bank): $150,000.00
- Unsecured Loans Made by Owners: $150,000.00
- Payroll and Taxes: $12,350.00
- Rent on Office/Showroom: $3,000.00
- Insurance: $5,000.00
- Office Supplies (Office Depot): $350.00
- Tools and Equipment (Lowe's): $675.00

BANKRUPTCY OPTION 1: CHAPTER 7

According to *Advanced Business Law and the Legal Environment* (2014),

Requirements:

- Available to individuals, partnerships, and corporations.
- Must pass the means test if an individual.
- Involves liquidation of non-exempt assets.

Filing Steps:

- File a petition with the bankruptcy court.
- Submit schedules of assets, liabilities, income, and expenditures.
- Attend a meeting of creditors.
- Liquidation and distribution of non-exempt assets by the trustee.
- Discharge of remaining unsecured debts.



Figure 3: This represents the list of laws

BANKRUPTCY 2: CHAPTER 11



Figure 4: This represents the law

According to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.),

Requirements:

- Typically used by businesses.
- Allows for reorganization rather than liquidation.
- Business must have substantial income and assets.

Filing Steps:

- File a petition with the bankruptcy court.
- Submit a detailed reorganization plan.
- Obtain approval from creditors and the court.
- Restructure debts and continue operations under the plan.
- File regular reports and adhere to the approved plan.

ADDITIONAL RESOURCES: WORK LOAN-RESTRUCTURE



Figure 5: This represents the law

According to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.),

Debt Restructuring helps negotiate new terms with creditors to reduce payments, and interest rates, or extend repayment periods.

This is beneficial for PI as it avoids bankruptcy, maintains business operations, and potentially improves cash flow.

For instance, PI is struggling to meet its monthly debt payments due to decreased revenue and increased costs. Then PI approaches their primary lender, First State Bank, to discuss potential solutions. Through negotiations, they agree to restructure the terms of the loan. The bank agrees to lower the interest rate, extend the repayment period, and reduce the monthly payment amount. This restructuring allows PI to maintain its operations, improve cash flow, and avoid the costly and time-consuming process of bankruptcy (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.).

OTHER OPTION: ASSET SALES



Figure 6: This represents the law

According to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.),

An Asset Sale is when PI sells non-essential assets to raise cash and pay down debts.

This is beneficial for PI as it reduces liabilities without filing for bankruptcy, provides immediate cash flow, and can stabilize the financial condition.

For instance, based on the given assets provided, PI could consider selling non-essential assets such as excess inventory, unused equipment, or even a portion of its real estate holdings. This case would apply if PI sells its excess inventory worth $12,000 or the unused tools and equipment valued at $2,500. By selling these assets, PI can generate immediate cash, reduce its debt burden, and improve its overall financial position. However, it's important to weigh the short-term benefits of asset sales against reduced operational capacity (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.).

OTHER OPTION: COST REDUCTION



Figure 7: This represents the law

According to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.), cost reduction is another alternative method because it implements lowered costs such as reducing staff, negotiating contracts, or cutting expenses that are not needed.

This method is beneficial for PI as it improves profitability, reduces financial strain, and preserves business operations.

For instance, PI can reduce unnecessary stock and associated storage costs such as reducing the inventory value from $12,000 to a more optimal level could free up valuable funds. Additionally, reducing labor costs or renegotiating supplier contracts can reduce overall expenses. This means that, if possible, PI should also consolidate a smaller facility to reduce rent and utility costs. This would be the case if PI has multiple locations, then consolidating into a single place could save costs, and as well as purchasing only the items needed for continuing operations can keep the financial situation stable (*Advanced Business Law and the Legal Environment,* 2014; UMGC, n.d.).

Recommendation:

According to *Advanced Business Law and the Legal Environment* (2014) and UMGC (n.d.),

Recommended Action:

- The Best Recommended Option for PI's Case and Assets is Chapter 11 Bankruptcy.

Why:

- Option with Chapter 11 Bankruptcy is the best out of all the options because it allows PI to reorganize debts and continue PI's business tasks. This helps keep a structured plan to address financial issues while mitigating the issues of Chapter 7's requirements.
- Chapter 7 bankruptcy involves liquidating non-exempt assets to pay off creditors, suitable for individuals with limited assets.
- Chapter 11 bankruptcy, on the other hand, allows businesses to reorganize debts and continue operations.
- For PI, Chapter 11 would be more appropriate as it allows for debt restructuring and continued business operations. The process involves filing a petition, submitting schedules, and attending a creditor meeting. PI can then propose a reorganization plan to pay creditors over time, potentially reducing debt and emerging from bankruptcy as a viable entity.
- This approach avoids asset liquidation, which would occur under Chapter 7.
- The other alternative methods are also viable, but the given assets, it demonstrate that Chapter 11 may be the best option.
- (*Advanced Business Law and the Legal Environment,* 2014, Chapters 20, 25, and 26; Legal Information Institute, n.d.).

Conclusion

- PI faces significant financial challenges due to economic conditions.
- Two primary bankruptcy options analyzed: Chapter 7 (liquidation) and Chapter 11 (reorganization).
- Alternative remedies include debt restructuring, asset sales, and cost reduction.
- Recommended action is Chapter 11 bankruptcy to reorganize debts and continue business operations.



Figure 8: This represents the conclusion

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